

Siddharth Parwatay*siddharth.parwatay@thinkdigit.com***Introduction**

Open source has come to be synonymous with the word free. Yet there are several businesses that are adopting the open source model as a strategy to stay afloat in today's times. If open source is free, then where is the money, especially if you decide to release your software into the open source world? The first thing we need to understand is that free relates to the word freedom. The famous quote goes, "To understand the concept, you should think of free as in free speech, not as in free beer". Therefore, thinking of open source as free and hence "no revenue" is a misnomer. If you are an independent developer, or are considering some sort of open source strategy or are just curious how an OS strategy might work; these are some of things you should consider.

Why open source?

It is important to understand that open source is not a supernatural cure-all and neither should it be shunned from the point of view of business and revenue. The basic premise we will go from is that a company or developer engaged in the software business is in it to provide value to the customer or end user. In such a case, open source will help a product maker potentially to provide better value to customers, by leveraging the ability for your customers or third parties to improve the product through bug fixes and product enhancements. The key is also to provide better value to customers than competitors, and then ultimately turn that value into a revenue stream. Fortunately or unfortunately – which ever way you look at it – open source ensures the survival of the fittest.

The open source model differs from the traditional model in the sense that you as a software developer, will most likely provide only part of the support to end users. The large base of your support will be provided by a community of developers engaged in furthering your product. These developers are attracted to your product as opposed to your competitors'. In such a way your resources are greatly augmented. What motivates these independent developers? That is a huge subject altogether, but some of the motives are - the satisfaction of working on a product that addresses a critical functional area in their lives or other people's lives; the fact that developers look forward to the possibility of providing allied services and creating related products, thereby gaining a revenue stream; they might also view working on your product as a learning opportunity; and finally there is the ego kick of building a reputation amongst peers. All this free resource augmentation brings down your cost of operation. It also facilitates in

WE'RE OPEN FOR BUSINESS

Open source is all about freedom, so where's the money? Here's a look at various strategies for businesses, entrepreneurs and developers in the open source world



greater product development. As Venkatesh Hariharan, Corporate Affairs Director at Red Hat puts it, "In the next few years, we may see the pace of innovation in open source outstrip anything that proprietary vendors and their closed group of paid programmers can produce."

The make-or-break then lies with retaining these developers who contribute to the product and the community at large, ostensibly without any tangible return. Developers will not contribute if they don't remain interested. So a lot of what you do as a company to support these developers will determine if they take an active interest or not. Treating developers and the community fairly to a great extent is also a function of what kind of licences you release your product under.

Licencing for the open business

Licencing is perhaps the most important component of the open source model. There are several licences plus their variants in this domain, but all of them share some common principles, such as free distribution (no royalty), scope for derived works (modification), etc. The complete list of principles is available at www.opensource.org. In effect, licences go beyond just access to the code. Here are some of the main licences that are applicable.

No licence (Public Domain)

In open source software, the originator of the code, although while not charging anything for distribution, still has the copyright to the original code. In this type of licence, the copyright is waived. This is a no-holds-barred form of usage; users are free to do whatever they want with software that is released in this manner. This includes using it as a base for proprietary software.

BSD Style licence

BSD stands for Berkeley Software Distribution, and this type of licence is most famously used for the operating system Open BSD, and the Apache web server. This licence was originally designed to release software which resulted as a by product of academic research. It gives importance to attribution and proper mentioning of credit. Commercial proprietary products are possible under this licence.

GNU GPL

This licence was created by the legendary Richard Stallman, father of the Free Software Foundation. So naturally, it lies on the complete opposite side of BSD style licences, that leave scope for commercial exploitation of code. Thus the General Public licence and its variants deter developers from modifying code and not re-distributing it back into the community.